EAAGADS LIMITED

ANNOUNCEMENT OF AUDITED RESULTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2020

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	31 March 2020	31 March 2019
	Kshs'000	Kshs'000
Revenue	48,622	179,615
Fair value loss on biological assets	(9,637)	(3,212)
Cost of production	(76,363)	(136,318)
Gross (loss)/profit	**(37,378)**	**40,085**
Net operating costs	(39,710)	(38,357)
(Loss)/profit before taxation	**(77,088)**	**1,728**
Tax credit	7,091	919
(Loss)/profit for the year	**(69,997)**	**2,647**
Revaluation surplus, net of tax	51,645	25,823
Total comprehensive income for the year	**(18,352)**	**28,470**
Basic and Diluted earnings per share	(2.18)	0.08

STATEMENT OF FINANCIAL POSITION

	31 March 2020	31 March 2019
	Kshs'000	Kshs'000
EQUITY		
Share capital	40,196	40,196
Revaluation reserve	689,115	645,080
Retained earnings	102,547	161,642
	831,858	**846,918**
NON-CURRENT LIABILITIES	66,893	74,942
CURRENT LIABILITIES	49,830	20,464
TOTAL EQUITY AND LIABILITIES	**948,581**	**942,324**
REPRESENTED BY:-		
Non-current assets	838,253	799,434
Current assets	110,328	142,890
	948,581	**942,324**

STATEMENT OF CHANGES IN EQUITY

	Share capital	Revaluation reserve	Retained earnings	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At 1 April 2019	40,196	645,080	161,642	846,918
Loss for the year	-	-	(69,997)	(69,997)
Revaluation surplus on revaluation of freehold land, net of tax		51,645		51,645
Transfer of excess depreciation	-	(7,610)	7,610	-
Deferred tax on transfer of excess depreciation	-	-	3,292	3,292
At 31 March 2020	**40,196**	**689,115**	**102,547**	**831,858**

STATEMENT OF CASH FLOWS

	31 March 2020	31 March 2019
	Kshs'000	Kshs'000
Net cash (utilised in) /generated from operating activities	(56,873)	30,279
Net cash used in investing activities	-	(834)
Net cash generated from/(used in) financing activities	30,621	(1,067)
Net (decrease)/ increase in cash and cash equivalents	(26,252)	28,378
Cash and cash equivalents at the beginning of the year	29,845	272
Effect of exchange rate changes on cash and cash equivalents	256	1,195
Cash and cash equivalents at the end of the year	3,849	29,845

RESULTS SUMMARY

The above are extracts of the Financial Statements of Eaagads Limited that were approved by the Board of directors on 30 July 2020. These accounts were audited by Ernst & Young LLP, Certified Public Accountants and received an unqualified audit opinion.

PERFORMANCE

In the year under review, the company produced 114 tons of coffee compared with 419 tons produced last year. The decrease was mainly attributed to the severe drought experienced in the first half of the year which affected formation of the late crop for the production year 2019/2020. Due to the low yield, the company only achieved sales of 127 tons of coffee compared with 416 tons last year. The average price realized during the year 2020 however increased to USD 3.75 per kilogram from USD 3.37 per kilogram in the previous year.

Because of the low production, revenues dropped from Kshs179.6 million last year to Kshs48.6 million in the current financial year. Consequently, the company reported a loss before tax of Kshs 77 million compared to a profit before tax of Kshs. 1.7 million in the previous year. Production costs are directly correlated with production levels. Coffee upkeep costs, picking costs and wet processing costs reduced by KShs 59 million. Crop commission charges also reduced by KShs 4.8 million. Farm management fees remained at USD 7.5 per hectare.

The company also revalued its freehold land and this resulted in a revaluation surplus of KShs 51.6 million, net of tax. The remaining land which is held on a leasehold basis and measures 341 hectares, is not subjected to a valuation, in line with International Financial Reporting Standards (IFRS).

OUTLOOK

Coffee is especially sensitive to extreme weather conditions. The high rainfall in January to April 2020 has resulted in intermittent flowering of the late crop, a condition necessary for good flowering. The initial expectation for the 2020 crop was pegged at 330 tons but due to this factor, we expect a significantly lower harvest, currently estimated at 235 tons. On the other hand, this rainfall was good for the early crop whose quality was enhanced.

International coffee market prices have reached unprecedented low levels, currently having the New York benchmark price under 100 US-cents per pound, which is the lowest level for more than a decade. Eaagads coffee continues to attract a premium in the market due to its quality, although it is still impacted by the International coffee prices. The company continues to source for more direct sales to achieve better pricing. The farm remains under the management of Coffee Management Services (CMS).

DIVIDEND

The board of directors do not recommend payment of a dividend for the year ended 31 March 2020 (31 March 2019: Nil)

By the Order of the Board

Company Secretary
30 July 2020